

Price Sensitivity

(Perfectly inelastic/inelastic/Elastic/Perfectly elastic)



Amul Milk

An inelastic demand allows the industry to increase prices, as increase in prices does not reduce the demand.

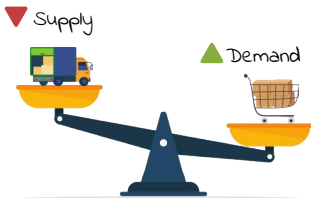


Event Tickets

Elastic demand gives buyers a higher bargaining power, as they can reduce consumption and therefore pressurise the industry to reduce prices.

Demand-Supply Scenario

(Excess demand, balance, excess supply)



Supply < Demand

Buyer Bargaining Power

Low
The sellers are the selectors and they can determine prices.



Supply > Demand

Buyer Bargaining Power

High
The buyers are the selectors and they gain buyer power.